

IN THE HIGH COURT OF JUDICATURE AT MADRAS

Nikhil Nair vs The State Of Karnataka ... on 7 July, 2024
(2023) 6 SCC 677, (2024) 11 SCC 179
Bench: Vipul M. Pancholi, J. and M.G.S. Kamal, J.

JUDGMENT

Vipul M. Pancholi, J.

1. The applicant, Nikhil Nair, has approached this Court under Section 482 of the Bharatiya Nagarik Suraksha Sanhita (BNSS), 2023, seeking regular bail in connection with C.R. No. 152 of 2024 registered with Economic Offences Wing, Karnataka. The offences alleged are punishable under Section 111 of the Bharatiya Nyaya Sanhita (BNS), 2023 and Section 66D of the Information Technology Act, 2000.
2. The prosecution case is that a coordinated digital fraud syndicate caused wrongful loss of Rs. 4.1 Crores between 06-07-2024 and 22-03-2023. The applicant was arrested on 02-10-2022 for allegedly providing logistics and server infrastructure to the prime conspirators.
3. Mr. Merchant, learned Senior Counsel for the applicant, submitted that the investigation is complete and the charge sheet was filed on 02-09-2022. He contends the applicant had no mens rea, and that the CDR and cell-site records relied upon by the prosecution were seized without mandatory certification under Section 63 of the Bharatiya Sakshya Adhinyam (BSA), 2023.
4. Counsel placed reliance on (2011) 1 SCC 694 in the case of Sanjay Chandra v. Central Bureau of Investigation, and on (2014) 8 SCC 273 in the case of Arnesh Kumar v. State of Bihar, on the principle that continued custody must not become punitive where trial will take time.
5. Learned APP Ms. Menon opposed, contending that bank ledger audits and the panchanama dated 11-02-2023 establish the applicant's proximity to the operating nodes, and that Ex. P-14 seizure memo links the leased servers to the applicant.

6. Upon consideration of the charge sheet, this Court finds custodial interrogation has concluded; no direct fund trail touches the applicant's accounts; and trial will take considerable time. Further detention would serve no purpose.

7. The applicant is directed to be released on bail on executing a P.R. Bond of Rs. 75,000/- with one or two local sureties. Bail application is allowed.

M.G.S. Kamal, J. - I agree.